



WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES News Corp ***** SATURDAY/SUNDAY, APRIL 11 - 12, 2026 ~ VOL. CCLXXXVII NO. 84 WSJ.com ★★★★★ \$6.00

What's News

Business & Finance

- ◆ **Consumer prices surged** 3.3% in March from a year earlier, the largest increase in two years as gasoline prices skyrocketed after the war against Iran began. **A1**
- ◆ **The conflict is inflicting** a new toll on U.S. commercial construction, raising costs and risking project delays. **A2**
- ◆ **Stocks notched their best** weekly gains of the year, with all three major indexes gaining at least 3%, on hopes of a diplomatic end to the war. Oil had its steepest weekly percentage slide since 2020. **B11**
- ◆ **Airlines, airports** and fuel suppliers are warning that Tuesday's cease-fire deal in the war with Iran—even if it holds—won't solve the jet fuel crisis soon. **B11**
- ◆ **Nike's chief innovation** officer is leaving after less than a year in the job, amid signs that the company's turnaround efforts are sputtering. **B9**
- ◆ **Porsche car deliveries** fell 15% in the first quarter as the end of U.S. tax incentives for EVs and hybrids and other factors dented sales. **B9**
- ◆ **Large banks** are preparing to offer a new way for investors to bet against managers of private-credit funds. **B11**
- ◆ **CarMax will add** two members to its board after talks with activist investor Starboard Value. **B9**

Worldwide

- ◆ **The standoff** between the U.S. and Iran is intensifying ahead of a meeting, with Tehran raising new preconditions for cease-fire talks and President Trump warning of further military action. **A1, A6-8**
- ◆ **Iran still has thousands** of ballistic missiles in its arsenal that it could use by retrieving launchers from underground storage areas, say American officials familiar with U.S. intelligence assessments. **A1**
- ◆ **Trump has repeatedly** promised his top officials pardons before he leaves office, according to people who have heard his comments. **A1**
- ◆ **A person was arrested** after allegedly throwing a Molotov cocktail at OpenAI CEO Sam Altman's home and making threats at the company's headquarters. **A5**
- ◆ **Chinese leader Xi** welcomed the leader of Taiwan's main opposition party for a rare meeting in Beijing. **A8**
- ◆ **Former Russian Deputy** Defense Minister Pavel Popov was sentenced to 19 years in prison for corruption by a military court in Moscow. **A9**
- ◆ **A charity co-founded** by Prince Harry in Africa to honor his mother, Princess Diana, has sued him for defamation after he stepped down as a patron last year. **A9**

PEGGY NOONAN

In gut we trust? **A13**

JOURNAL REPORT

Golf: Check your ego and have more fun. **R1-10**

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Inflation Hits Two-Year High

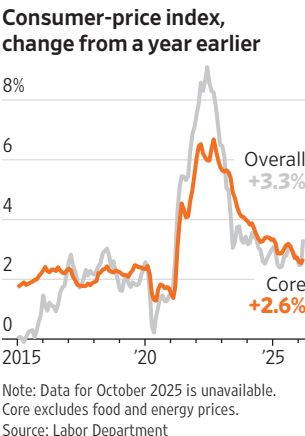
By KONRAD PUTZIER

Consumer prices surged 3.3% in March from a year earlier, the largest increase in two years as gasoline prices skyrocketed after President Trump launched a war against Iran. Friday's inflation report from the Labor Department was in line with the expectations of economists surveyed by The Wall Street Journal, but the March reading was much hotter than February's gain of 2.4%. The report is the first to capture the impact of the Iran

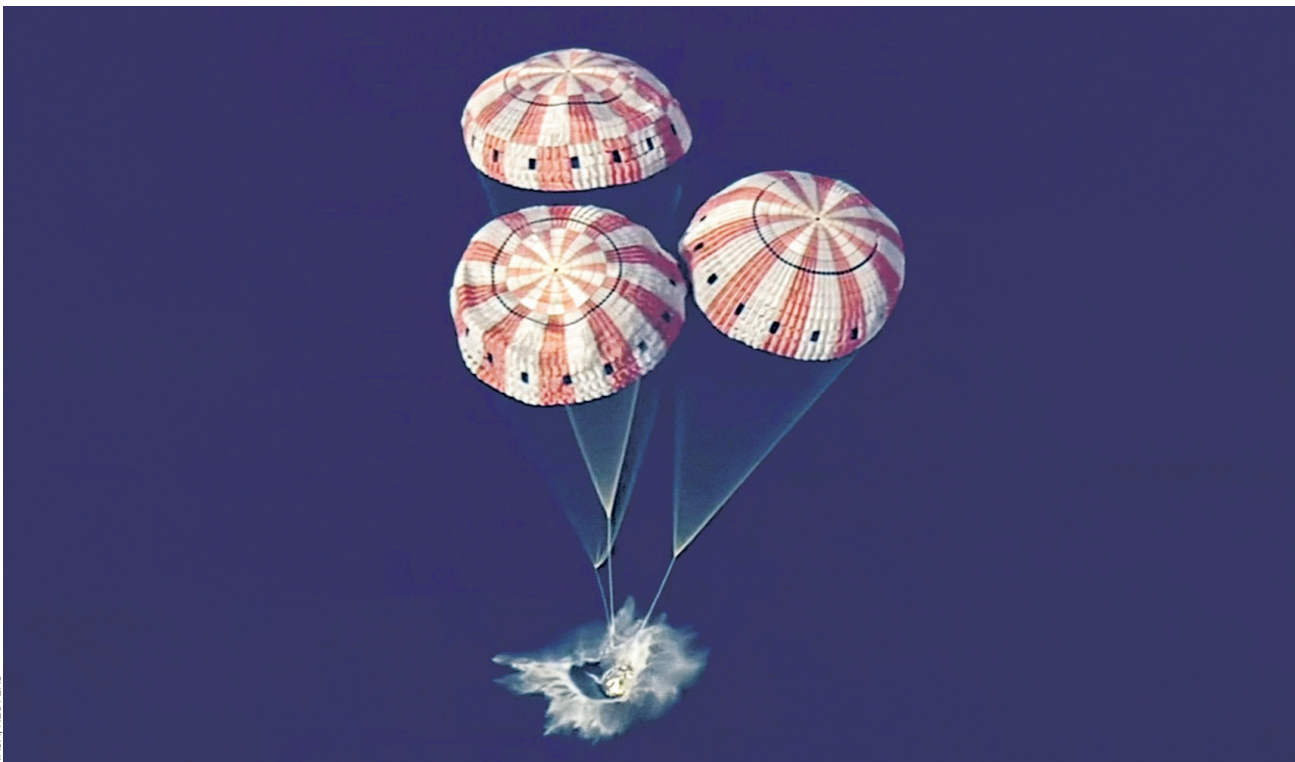
war on inflation. Prices excluding food and energy categories—the core measure economists watch in an effort to better capture inflation's underlying trend—rose 2.6%, slightly below forecasts for a 2.7% increase. Energy prices jumped by 12.5% from a year earlier, a dramatic acceleration from 0.5% in February. Gasoline prices jumped 18.9% and fuel oil surged by 44.2%. “The war in Iran is now clear in the economic data and it's a brutal picture,” Heather

Long, Navy Federal Credit Union's chief economist, wrote in a note Friday. Consumers became much gloomier in recent weeks. The University of Michigan's consumer sentiment index, also released Friday, fell to its lowest level on record. The ini- *Please turn to page A2*

- ◆ **Gas prices are eating into** paychecks..... **A2**
- ◆ **Mideast conflict takes a** toll on construction..... **A2**
- ◆ **Jet fuel crunch gets severe,** no relief in sight..... **B11**



Artemis II Crew Returns From Historic Moon Trip



SPLASHDOWN: NASA's Orion capsule carrying four astronauts landed Friday in the Pacific Ocean, seen in an image from a NASA livestream, after a lunar flyby that took the three Americans and one Canadian farther from the Earth than anyone in history. **A5**

Tehran Missile Threat Still Strong

Iran still has thousands of ballistic missiles in its arsenal that it could use by retrieving launchers from underground storage areas, say American officials familiar with U.S. intelligence assessments. The assessments come as the U.S. is working to cement a cease-fire that would fully open the Strait of Hormuz and

By Michael R. Gordon, Lara Seligman, Shelby Holliday and Dov Lieber

also insulate Iran, American troops and states in the region from further attacks. Some American officials said they are concerned that

Iran will use the break in fighting to reconstitute some of its missile arsenal. Defense Secretary Pete Hegseth told reporters this week that Iran's missile program is “functionally destroyed” with launchers and missiles “depleted and decimated and almost completely ineffective.” The picture painted by U.S.

intelligence reports, however, indicates Iran can reconstitute some of its missile force. While U.S. officials say more than half of Iran's missile launchers have been destroyed, damaged or trapped underground, many of those launchers that remain can be repaired or dug out from underground complexes, *Please turn to page A8*

U.S., Iran Trade Jabs On Eve Of Talks

Late brinkmanship signals difficult road for Trump's effort to open Hormuz Strait

The standoff between the U.S. and Iran is intensifying ahead of a face-to-face meeting, with Tehran raising new preconditions for cease-fire talks and President Trump warning of further military action.

By Summer Said, Laurence Norman and Benoit Faucon

The 11th-hour brinkmanship shows the difficult road ahead for talks between two longtime foes racing to resolve disputes in the next two weeks that have stymied negotiators for more than two decades—or at least make enough progress on them to extend negotiations. Iran's control of the Strait of Hormuz adds a volatile new dimension to negotiations that also cover its nuclear program, missile systems and support for regional militias. Iranian leaders and Trump traded barbs on Friday ahead of the meeting, underscoring deep mistrust between the two sides. Iran demanded a cease-fire in Israel's separate fight with the Iran-backed Hezbollah militia in Lebanon and on Friday added a new condition: the release of U.S.-blocked Iranian assets. “These two matters must be fulfilled before negotiations begin,” said Mohammad-Bagher Ghalibaf, the powerful speaker of Iran's Parliament, on social media. Trump, meanwhile, signaled growing impatience with Iran's failure to reopen the Strait of Hormuz, a condition of the two-week cease- *Please turn to page A6*

- ◆ **Democrats see political** opening on war..... **A4**
- ◆ **Iran has time on its side** in U.S. talks..... **A6**
- ◆ **Pope criticizes U.S. war** language..... **A8**

EXCHANGE

SOCIAL STORM
Investor Bill Ackman vented and fellow billionaires commiserated. **B1**

A Mystery Grips the Masters: Is This the End of the Gnome?

* * *

Augusta patrons love the 13-inch figurines. Then came the rumors of retirement.

By ANDREW BEATON

AUGUSTA, Ga.—Scott Gray entered the Masters ticket lottery for 20 years before he finally scored access to Wednesday's practice round. He brought his nephew and two work buddies, and they got

to the course at 4 a.m. for a day he spent a lifetime dreaming about. They waited for several hours in the dark without their cell-phones for the gates to open, and when they finally stepped onto the hallowed grounds of Augusta National, they didn't race to smell the *Please turn to page A10*



Trump Promises Pardons to Staff

By JOSH DAWSEY

President Trump has repeatedly promised his top administration officials pardons before he leaves office, according to people who have heard his comments. “I'll pardon everyone who has come within 200 feet of the Oval,” Trump said in a recent meeting to laughs, according to people with knowledge of the comments. That radius appears to be expanding as the president repeats the line. Another person who met

with Trump earlier this year said the president quipped about pardoning anyone who had come within 10 feet. In one conversation with advisers in the dining room next to the Oval Office last year, Trump said he would host a news conference and announce mass pardons before he left office, some of the people said. The people said they weren't aware of specific pardons being offered to specific people for specific acts. The unconditional power to pardon is one of the most

sweeping powers offered to the presidency. This term, Trump, a Republican, has wielded clemency far differently from any other president, dispensing some 1,600 grants to date. Many have gone to allies and donors, or those who had hired them, coming after a social pull-aside or a round of golf. Some have received bipartisan criticism, including one to a crypto billionaire whose company boosted Trump's own digital-currency company, and *Please turn to page A4*

President Scraps China Playbook

White House walks back previous aggressive approach

When Pentagon officials last fall briefed President Trump on a draft of a bureaucratic defense strategy document, it framed China the same way it had for a decade: as the top security threat facing the U.S.

By Heather Somerville, Alexander Ward and Gavin Bade

Trump balked and ordered his Pentagon deputy to rewrite it, according to three officials familiar with the exchange. When the administration's revised National Defense Strategy published in January, it offered instead a conciliatory tone toward Beijing. “President Trump seeks a stable peace,

fair trade, and respectful relations with China,” an unclassified version of the document declares. While every administration crafts its own defense strategy, Trump's second is making the unusual move of discarding a policy that was formulated by his first. That bipartisan approach sanctioned by Trump 1.0 characterized China as the most consequential U.S. adversary. The Trump 2.0 framework is instead a seismic shift in U.S. policy, trade practices and rhetoric toward Beijing driven by a new *Please turn to page A9*

- ◆ **Xi hosts Taiwan opposition leader**..... **A8**